

GOLD AND MONEY IN EXTREMIS—ONE MAN’S STORY

By Rich Rabkin

My economic education was started as a child by my grandfather who was a living testimonial to the above. At 99 years of age, he felt there was simply too much debt and that the long downward spiral was underway with very difficult times ahead. Having lived through times of “extremis,” his account of fiat money, war, gold, and survival serves as a reminder that those who chose to ignore history do so at their own peril.

On September 17, 1939, Russia invaded Poland, and over the next year over 1.7 million Poles were deported to labor camps or sent into exile into Kazakhstan and Siberia. Their only crime at the time was being Polish citizens. None of the lands and homes taken by the Russians was returned to the Poles after the war despite their release from the Gulag in 1942, and fighting with great distinction under the British army. Those who returned did so at their own risk. Per the 1943 treaty of Tehran, eastern Poland remained Russian. Winston Churchill said of Poland in 1946 in the House of Commons, “We who went to war on her behalf . . . watch with sorrow the strange outcome of our endeavors.” Fiat money is particularly vulnerable during war and generally becomes rapidly worthless when countries fall. Such was the case for my grandparents, who in 1939 resided in eastern Poland. This is their story as told to me by my grandfather, Marion Szablicki:

Early morning on September 18, 1939, I learned that the rumors of the Russian invasion of eastern Poland were true. Just three weeks before, we had been attacked from the south by Germany. Russia now attacked Poland from the east. In a matter of weeks, Poland was overrun. I reenlisted in the army after the Germans invaded, but upon hearing this news, those of us from the east were told to go home. I had a wife and a three-year-old daughter to protect. I left to go back to our village immediately, covering the 40-kilometer journey on foot in a day.

We lived near the Russian border and I knew the soldiers would arrive soon. I was working class; however, my wife’s family was better off, and we had a very modest amount of gold and jewelry kept by her family since the Polish inflation 15 years prior. I hid it carefully in a hole in the ground. I knew our national currency (the zloty) would not last, and I knew that gold would be the only money I could use to try and save us.

Poland’s inflation was concurrent with the Weimar in Germany. My father, brothers, and I bartered for food, goods, services, and gold. Gold was preferred to cash. My father was well versed in history, and he often he cited the great inflation of prerevolutionary France. It was he who taught me that gold was the only money with no sovereign borders.

Russian soldiers arrived at our village two days later.

Having been born in far eastern Siberia, and a boxer in Russia years earlier, I was fluent in Russian. I remembered their revolution; anyone who was not a peasant or was in any way educated was in danger. I spoke with many soldiers seeking clues about our fate.